

GLOBAL MOBILITY

AUDIT PROGRAM #40-50-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

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DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
September 2025	Planning	Audit Program Risk Alignment	CA&AS Ops	Audit risk area levels updated from recent revalidation
September 2025	Process and Objective	Planning: Reference Material	Michelle Galiza	Deleted FIN 137, 140, 141 which have been rescinded by FIN 194. Deleted HR 109 which has been rescinded. Updated the website of IBM Regulatory Compliance. Deleted the Privacy Laws website which was already obsolete. The policy was now included in the IBM Regulatory Compliance website.
September 2025	Process and Objective	Planning: Self-Service report	Michelle Galiza	Updated self-service report from Finance Business Controls (FBC) OpenPages (formerly Worldwide Business Controls Integrated Toolset).
September 2025	Process and Objective	Planning: Data Analysis	Bernadette Dudas	Deleted Talent ID analysis due to the implementation of the immutable talent ID when SuccessFactors was deployed.
September 2025	CONTROL ASSESSMENT QUESTIONS	Key Control Question: 1. Assignments and Relocations Management Primary Test: Assignment Initiation, Approvals, and Pre-SOA (AR001.P)	Bernadette Dudas	Updated the test approaches to align with the current process.
September 2025	CONTROL ASSESSMENT QUESTIONS	Key Control Question: 1. Assignments and Relocations Management Primary Test: Validation and Processing (AR007.P)	Bernadette Dudas	Updated the test approaches to align with the current process.
September 2025	CONTROL ASSESSMENT QUESTIONS	Key Control Question: 2. Vendor Management Primary Test: Vendor Cost (VM003.P)	Michelle Galiza	Updated the test approach to align with the current process.
September 2025	CONTROL ASSESSMENT QUESTIONS	Key Control Question: 2. Vendor Management Primary Test: Vendor Cost (VM003.P)	Michelle Galiza	Updated the test approach to include review of invoices received by Global Mobility for services rendered to non-Global Mobility assignments (example: immigration services by Fragomen, FGI, destination services by SIRVA, etc.).
September 2025	CONTROL ASSESSMENT QUESTIONS	Key Control Question: 4. Immigration Compliance Objective:	Michelle Galiza	Updated the objective to broaden the scope to include immigration services provided outside of global mobility assignments.

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DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
September 2025	CONTROL ASSESSMENT QUESTIONS	Key Control Question: 4. Immigration Compliance Primary Test: India Outbound Travel Management Process - Travel Management and Ticketing (IC002.P)	Bernadette Dudas	Updated the test approaches to align with the current process.
September 2025	CONTROL ASSESSMENT QUESTIONS	Key Control Question: 4. Immigration Compliance Primary Test: India Outbound Travel Management Process – Rejections and Turnaround (IC003.P)	Bernadette Dudas	Excluded IC003.p testing. The tracking and reporting of rejections are one of Fragomen's SLAs (SLA 9 - Work Authorization Approvals). This part is tested under Contract Performance Measurements.
September 2025	CONTROL ASSESSMENT QUESTIONS	Key Control Question: 4. Immigration Compliance Primary Test: US I-9 Reverification and Tracking (IC004.P)	Michelle Galiza	Updated the test approaches to align with current process.
September 2025	CONTROL ASSESSMENT QUESTIONS	Key Control Question: 4. Immigration Compliance Primary Test: US LCA/PAF Compliance (IC005.P)	Bernadette Dudas	Updated the link in the test approach.
September 2025	All	All	Bernadette Dudas	Changed mention of "Workday" to "SuccessFactors"
September 2024	Overall Update	All areas	Michelle Galiza	Updates to defined risk areas and control questions as per policy and process changes.
April 2023	Data Protection	OU002.P	Don Dobrzelewski	Added Privacy Testing
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

Process Definition:

The global mobility process is a sub-process within the human resources (HR) process. It encompasses the design and use of processes and tools used to initiate, manage, and conclude international assignments. Please note, this does not include domestic relocation, which is for employees who move within a particular country, or Host Country Assignment Model (HCAM), which is an IBM Consulting host-based, onsite model designed to support consistent, high-volume demand in the host country. Global Mobility - International only includes employee assignments from one country (home country) to another (host country).

Global Mobility process includes several policies to meet IBM's needs and ensure compliance with regulations. Policies include International Assignments (IA), Global IBMer (GI), Global Relocations (GR), and Business Travel Compliance (BTC). Please refer to the appropriate global mobility policies as outlined in the table of contents.

Process Objective:

The objective of the global mobility (international) process is to facilitate temporary skills deployment from one country to another in support of IBM's business goals and to ensure that IBM complies to all regulations.

Control Assessment Topics:

1. Immigration compliance:
 - a. Compliance to immigration laws and regulations
 - b. Compliance to Immigration Requirements including minimum salary level (MSL)
 - c. India Outbound Travel Management Process
 - d. US I-9 Reverification and Tracking
 - e. US Labor Condition Application (LCA)/Public Access File (PAF) Compliance
 - f. US Work Permit Operations
2. Business travel monitoring and reporting:
 - a. Short term business traveler assessment/cross border business travel assessment (CBTA)
 - b. Posted Worker Registration Process Assessment
 - c. Business traveler tax compliance
3. Vendor management including:
 - a. Contract management (initial contract as well as contract changes)
 - b. Contract performance measurements – service level agreements (SLAs), key performance indicators (KPIs)
 - c. Vendor cost – invoice validation and payment
4. Assignments and relocations management including:
 - a. Initiate, manage, and close assignment activities:
 - i. Initiate assignment including assignment approvals and notifications, allowance calculation and payment, debt acknowledgement, vendor notifications, and health care compliance (eligibility and authorization).
 - ii. Manage assignment including allowance calculation and payment, and assignment extensions.
 - iii. Close assignment including allowance calculation and payment; debt settlement; vendor notifications; expense validation and processing.
 - iv. Tax compliance including payroll withholding and individual income tax return reporting and tax settlements.
 - v. Assignee debt management

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PROCESS AND OBJECTIVE (Continued)

5. Internal Controls
 - a. Data Security and Privacy
 - b. Access Management
 - c. Separation of Duties
6. Compliance with laws and regulations, including country-specific requirements if applicable.

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PLANNING: Audit Program Risk Alignment

Global Mobility

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Immigration Compliance	High	Compliance to immigration laws and regulations	IC001.P
		Compliance to Immigration Requirements, including MSL	IC001.P
		India Outbound Travel Management Process	IC002.P
		US I-9 Reverification and Tracking	IC004.P
		US LCA/PAF Compliance	IC005.P
		US Work Permit Operations	IC006.P
Business Travel Monitoring and Reporting	Medium	Business Travel Tax Compliance	BT001.P
Vendor Management	Medium	Contract management (initial contract as well as contract changes)	VM001.P
		Contract perf measurements – SLAs and/or KPIs	VM002.P
		Vendor invoice validation and payment	VM003.P
Assignments and Relocations Management	Medium	Assignment Initiation, Approvals, and Pre-Start of Assignment (SOA)	AR001.P
		Extensions	AR002.P
		Vendor Notification	AR003.P
		Allowance Payment	AR004.P
		Debt Settlement	AR005.P
		Payment Process	AR006.P
		Expense Validation and Processing, Compliance with laws and regulations, including country-specific requirements if applicable	AR007.P
Internal Controls	Low	Data security and privacy	DS001.P
		Access Management	DS002.P
		Separation of Duties	DS003.P

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PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Table 1: International Assignments

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
**Authorize assignees list and completed tax returns. Note: Analysis should be per tax year.	Determine if tax returns were completed for assignees authorized for tax return filing.	Tax returns not prepared timely for authorized assignees.	Late filing of tax returns could expose the assignee to government penalties, additional expenses to IBM, and negative IBM publicity.
**Assignment Provisions	Determine if expenses claimed and/or allowances paid were within the policy guidelines.	Expenses and/or allowances not within policy guidelines	Unauthorized or unapproved expenses and/or allowances add cost to the program and could create an environment for employee dissatisfaction and fraudulent activities.
**Duplicate assignment provisions	Determine if the same assignment provision was claimed or paid multiple times.	Duplicate or unauthorized payments.	Duplicate or unauthorized payments could increase IBM expenses and could also result in bad debt write off.

Each test has indication (**) where data analysis can be performed by the Technology team

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PLANNING: Reference Material

Corporate Policies

- 117: Workforce Diversity and Inclusion - <https://w3.ibm.com/ibm/corporate-documents/corporate-directives/corporate-policies/cp-117>
- 130: IBM Data Privacy Policy - <https://w3.ibm.com/ibm/corporate-documents/corporate-directives/corporate-policies/cp-130>

Corporate Instructions

- Information Technology Security (ITS)
 - ITS 101: Information Technology Security Policy - <https://w3.ibm.com/ibm/corporate-documents/its/its101>
- Finance (FIN)
 - FIN 101: Control of Disbursements - <https://w3.ibm.com/ibm/corporate-documents/fin/fin-101>
 - FIN 194: Intercompany Transactions Policy and Procedures
 - FIN 151: Application Systems Control and Auditability (ASCA) - <https://w3.ibm.com/ibm/corporate-documents/fin/fin-151>
- Procurement (PROC)
 - PROC 167: Supplier and Sourced Goods - <https://w3.ibm.com/ibm/corporate-documents/proc/proc-167>
- Legal (LEG)
 - LEG 116: Classification and Control of IBM Information - <https://w3.ibm.com/ibm/corporate-documents/leg/leg-116>
 - LEG 117: Internet Privacy - Personal Information Collected On-Line – <https://w3.ibm.com/ibm/corporate-documents/leg/leg-117>
- Human Resources (HR)
 - HR 113: Protection of Employee Information - <https://w3.ibm.com/ibm/corporate-documents/hr/hr-113>
 - HR 114: IBM Global Employment Standards - <https://w3.ibm.com/ibm/corporate-documents/hr/hr-114>
- Global Process Owner's process requirements, documentation, and guidance
- Process requirements at a region, country, or local level
- Laws and regulations addressing topics, such as
 - data privacy
 - benefits: funding, aged claims, denied claims appeals
 - taxability
 - compensation
 - recruiting (such as candidate selection) and hiring (for example, export regulations)
 - separations and resource action, such as selection and notification
 - visa and work permits
- Data Security - <https://www.ibm.com/topics/data-security>
- IBM Regulatory Compliance - <https://w3.ibm.com/w3publisher/ibm-regulatory-compliance>

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PLANNING: Self-Service Report

Some information previously included in the Initial Data Request (IDR) items which continue to be relevant information in audits will now be extracted directly by the audit team. These are as follows:

Information previously in IDR	Instructional materials to download information
• Management Self-Assessment of Controls (MSAC) • Risk Evaluations (RE's) • Proactive Business Control Reviews • (No key controls)	Exporting Reports from FBC OpenPages: 1. Log in to OpenPages. 2. Switch user profile to "FBC General User." 3. On the home page, navigate to the Reports section. 4. Select and export the required report(s) using the applicable filter criteria (e.g., date range, process type, status).

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PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Potential duplicate payment of assignment provisions	Data analysis of different systems by TalentID, name, amount, and business purpose	Determine if same assignment provision was paid more than once.
Ineligible Expenses	Check start and end dates of authorized assignment and related assignment provisions.	Determine if employee claimed expenses for the assignment period and if within the assignment provisions per assignment plan.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Assignments and Relocations Management

Objective:

Determine if service allowances were correctly calculated, authorized, communicated, and paid as Initiating, managing, and closing an international assignment includes approvals and notification, MSL calculation and payment, settlement of debt, third party notifications, home tax briefing, expense validation, processing and tracking, tax advances and payments for income taxes and other taxes, such as social welfare programs, extending an assignment, expense processing, validation, and payment, and final tax settlement. Required management approvals, evidence of immigration compliance, export regulation clearance, a home tax briefing, and an assignment letter signed by the assignee must all be in place before an assignment can start. No services can be initiated or begin before the assignment is fully approved, unless there is an exception approval (for destination, shipping, or tax services) or an immigration requirement is raised (for immigration only).

Risk/Exposure:

Failure to properly and promptly set up/start, manage, and close an assignment could result in employee dissatisfaction, disputes, and delayed or incorrect payments, and could expose IBM to possible litigation involving governmental authorities responsible for immigration, exports, and taxes in either home or host countries.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Assignments and Relocations Management

Primary Test: Assignment Initiation, Approvals, and Pre-SOA (AR001.P)

Objective:

Determine if assignments were correctly authorized and approved, and required documents were completed prior to the SOA.

Approach:

Review the process for initiating assignments. Select a sample of a variety of assignment types for both inbound and outbound assignees whose assignments were either initiated or underway. Test for the following:

1. Review the Your Global Mobility Advisor (YGMA)/AssignmentPro (APro) budget and determine if the provisions selected by the employee were documented correctly in the assignment letter. Verify if exceptions were appropriately approved.
2. Were required documents and approvals in place or completed prior to the start of assignment or payment of assignment expenses? Check completion of Export Regulation Coordinator (ERC) checklist, Global Mobility Privacy Statement, security briefing notification, and healthcare enrollment.
3. Were authorizations from both the home and host countries, such as travel authorizations, work permits, and other country immigration requirements, in place before the assignment began?

Note: The assignment initiation and approvals and pre-SOA processes have been automated within YGMA and APro tools. Request data analysis from the Business Intelligence Technology Group (BTIG) to complete this test.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Assignments and Relocations Management

Primary Test: Extensions (AR002.P)

Objective:

Determine if assignment extensions are authorized, approved, and in compliance with laws and regulations in both home and host countries.

Approach:

Review the process for extending assignments. Select a sample of both inbound and outbound assignees whose assignments had been extended one or more times. Test for the following:

1. Were notifications, advising that an assignment was about to end, sent in advance of the scheduled end date as required?
2. Were required documents such as work permits updated?
3. Check if assignee was not de-enrolled in health care.
4. Review the KPI results of assignment extensions. For any misses in the timely issuance of extension letters, check if these were reviewed with IBM management, and appropriate corrective and/or preventive actions were taken.

Note: This process has been automated within APro and delivered by a vendor. Request data analysis from the Business Intelligence Technology Group (BTIG) to complete this test.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Assignments and Relocations Management

Primary Test: Vendor Notification (AR003.P)

Objective:

Determine if the appropriate vendors were properly notified to perform authorized services on behalf of the employee and services were terminated timely.

Approach:

Review the process for authorizing and terminating vendors to perform services. Select a sample of both inbound and outbound assignees that were either initiated, underway, or completed. Test for the following:

1. Were vendors authorized to commence services in line with the employee's entitlements?
2. Were vendors notified to cease or deregister in providing services and benefits as of the assignment's completion date?

Note: This process has been automated within APro and delivered by a vendor. Request data analysis from the Business Intelligence Technology Group (BTIG) to complete this test.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Assignments and Relocations Management

Primary Test: Allowance Payment (AR004.P)

Objective:

Determine if assignment allowances were correctly authorized, communicated, and paid as required at the start of the assignment, during the assignment, and at the close of the assignment.

Approach:

Review the process for calculating and paying assignment allowances. Select a sample of both inbound and outbound assignees that were either initiated, underway, or ended. Test for the following:

1. Check if allowances paid were in accordance with IBM's Global Mobility policies and programs and any exceptions were documented and approved by IBM.
2. If the allowance was to be a one-time lump sum payment, check to see if the request for payment was made only once.
3. Were payments authorized, processed, and ended in a timely manner?
4. If funds were due from the employee because of the pro-rating or modifications, was the employee promptly notified, did the employee reimburse IBM when required, and were any aged balance tracked?
5. Review the KPI/SLA results for the calculation of assignment allowances and end of assignment reconciliation. For any misses in the timeliness and accuracy of allowance payment, check if these were reviewed with IBM management, and appropriate corrective and/or preventive actions were taken.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Assignments and Relocations Management

Primary Test: Debt Settlement (AR005.P)

Objective:

Determine if the employee settled debts owed to IBM. Debts owed to IBM could include repayment of funds advanced to the employee and/or hypothetical tax settlements (HTS).

Approach:

Review the debt settlement process to assess the effectiveness. Select a sample of both inbound and outbound assignees that were either initiated or underway. Test for the following:

1. Were funds advanced to the employee in accordance with terms and conditions of IBM's Global Mobility (International) policies and programs?
2. Were required documents and authorization secured before the advances were paid?
3. Were employee obligations/debts tracked in accordance with terms and conditions of IBM's Global Mobility (International) policies and programs?
4. Were funds advanced to employees repaid to IBM/vendor timely and accurately?
5. If applicable, was HTS report or another relevant document stating the repayable amount produced by the vendor?
6. Was the settlement recorded in relevant trackers/databases timely and accurately?
7. Was proof of collection/reimbursement obtained/confirmed by IBM, if applicable for the country?
8. Were debts and the settlement correctly recorded in the ledgers of both home and host countries?
9. Review the KPI/SLA results related to debt settlement process. For any misses in the timeliness and accuracy of debt settlement, check if these were reviewed with IBM management, and appropriate corrective and/or preventive actions were taken.
10. Was there a proper monitoring of the pending settlements?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Assignments and Relocations Management

Primary Test: Payment Process (AR006.P)

Objective:

Determine if mobility payments were processed correctly and timely, and in accordance with applicable policies, tax laws, and guidelines. Mobility payments include payments to government agencies (income tax, social security, payroll withholdings), HTS due to the assignee, and any mobility allowances that can't be paid through Payroll.

Approach:

Review the processes and requirements for the different Mobility payments, including the timing of payments to government agencies (income tax, social security, payroll withholdings). Select a sample of outstanding and processed payments, and test the following:

1. Was the payment request valid? Check if it's for the correct assignee and assignment and if there was no duplicate payment/s made.
2. Was the payment reviewed and approved prior to processing?
3. Was it paid to the correct recipient and processed timely, in accordance with applicable policies or laws?
4. If timeliness requirements were not met, how were open items tracked and reported to the management, and were root causes identified and resolved to closure?
5. For the universe (backlog) of unsettled payments (HTS, income tax, social security, and other payments), determine its accuracy and completeness. Were actions taken to address the backlog to ensure closure?
6. If applicable, for HTS cases, was there regular checkpoint between vendor and IBM to review pending settlements and discuss any queries (e.g. call or status report)?
7. Were payments correctly recorded in the ledgers of both home and/or host countries?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Assignments and Relocations Management

Primary Test: Validation and Processing (AR007.P)

Objective:

Determine if expenses were authorized and valid prior to processing and were tracked to closure if not promptly processed.

Approach:

Select a sample of a variety of expense claims from both inbound and outbound assignees. Test for the following:

1. Were the expense claims reviewed and approved per the assignee's assignment letter and approved exceptions (if applicable)?
2. Was the required supporting documentation provided and verified?
3. Were expense claims on hold tracked for resolution?
4. Were assignment expenses claimed correctly?

Notes:

1. Request data analysis from the Business Intelligence Technology Group to complete this test.
2. Pay particular attention to the possibility of duplicate payments. For example:
 - a. the same expenses submitted in both the assignment and the business travel reimbursement systems, or
 - b. the same expenses submitted as both lump sum expenses and periodic expenses.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Vendor Management

Objective:

To determine if management has established processes and procedures to manage the scope of work assigned to Global Mobility vendors. Determine if the contract was established utilizing Procurement, included detailed scopes of work, change management requests, appropriate business and legal clauses, and defined vendor performance metrics. Also, determine if the contract was adequate to deliver the business objectives of a divested business.

Risk/Exposure:

Inadequate management of contractual requirements and vendor relationship could impact the continuity of service, could damage IBM's reputation, and affect IBM's profitability. Ineffective change management of contract requirements could lead to missed business objectives and additional costs. Ineffective management system for the verification of receipt of goods and services could lead to payments made for services not received.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Vendor Management

Primary Test: Contract Management (initial contract as well as contract changes) (VM001.P)

Objective:

To determine if management has established processes and procedures to manage the scope of work assigned to Global Mobility vendors. Determine if the contract was established utilizing Procurement, included detailed scopes of work, change management requests, appropriate business and legal clauses, and defined vendor performance metrics. Also, determine if the contract was adequate to deliver the business objectives of a divested business.

Approach:

1. Review the process documentation developed by management that defined management's roles and responsibilities for meeting business objectives for divested operations. Verify the following:
 - a. The responsibilities between IBM Global Mobility and the vendors had been clearly defined in the roles and responsibilities documentation.
 - b. Key performance metrics had been established by Global Mobility management to monitor the vendor performance.
2. Review the divestiture contract for the following criteria:
 - a. Did the scope of work clearly define the services to be performed by the vendor? Were these requirements complete and were deliverables defined and measurable?
 - b. Was the vendor key performance metrics specified in the contract? Had management established a method for validating those services had been received and performed according to the contract?
 - c. Did management have a set management system to monitor contract deliverables?
 - d. Did the management system include oversight of operational change management elements?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Vendor Management

Primary Test: Contract Performance Measurements (VM002.P)

Test: Contract performance measurements – SLAs and/or KPIs

Objective:

To determine if appropriate key metrics and other performance criteria and service level agreements were in place to provide management with visibility concerning the Global Mobility vendors' performance against the requirements specified in the contract and scope of work.

Approach:

Review if key metrics, SLAs, and other performance measurements were monitored and reported to management. Evaluate the management process for determining that results were reported and within target.

1. Did the management establish review and reporting of key metrics and SLAs including: frequency, management review method, and reporting to determine that the vendor was meeting its minimum expected service levels?
2. Did key metrics and SLAs focus on timeliness and quality?
3. Were these key metrics and SLAs included in the scope of work?
4. Did the vendors provide timely and accurate reporting of key metrics and SLAs to IBM as required in the contracts?
5. When the vendors' performance targets were not met, was this documented and were action plans developed and followed to resolve?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Vendor Management

Primary Test: Vendor Cost (VM003.P)

Test: Vendor Cost – Invoice Validation and Payment

Objective:

Review the invoice validation process to determine that payments were for authorized services, had been delivered, were properly validated and approved before payment, cross reported where required, correctly accounted, and in compliance with contract terms and conditions.

Approach:

Request a list of invoices issued to IBM by Global Mobility vendors for services rendered, including those provided to non-Global Mobility assignees. Test for the following:

1. Was the invoiced service authorized?
2. Was the invoiced amount according to the contract terms and conditions? Check if the price matched the committed amount per the contract.
3. Was the invoiced service delivered? Note: The proof of service is currently validated through sampling.
4. Was there duplicate payment made to the vendor?
5. Was the invoice issued within the invoice timing SLA stipulated in the vendor contract?
6. Was the invoice paid timely according to the terms of the contract?
7. If there was non-compliance to 1-5 above, was the vendor notified of the invoicing issue, and was the invoicing issue tracked and monitored to closure?
8. If there was compliance to 1-5 above, was the vendor expense data provided to the IA/GI team responsible for collating earning data for income reporting purposes?
9. If there was compliance to 1-5 above, was the vendor expense charged to the funding Business Unit after payment hit the ledger?
10. Review the process for requesting and receiving credits from the vendor. Assess controls to ensure that claims for penalties or deficient services were filed and resolved promptly, and that credit notes were received from the vendor promptly. Verify if there was adequate documentation explaining the credit reason.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Business Traveler Tax Compliance

Objective:

Determine if business travelers were monitored to identify taxable business travelers, so that appropriate actions would be taken if there could be a tax consequence. A tax compliance plan is one type of international assignment.

Risk/Exposure:

Non-compliance to tax laws and regulations.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Business Traveler Tax Compliance

Primary Test: Business Travel Monitoring and Compliance (BT001.P)

Objective:

Determine if business travelers were monitored to identify taxable business travelers and appropriate actions were taken to ensure tax compliance.

Approach:

Review the process for monitoring employee business travel tax compliance in host countries. Select a sample of employees whose travel into host countries required action and/or that the employee be placed on an appropriate assignment plan. Test for the following:

1. Review the KPI results related to the monitoring of business travelers.
2. For any misses in the KPI/open action items, review if these were tracked, monitored, and reviewed with management through quarterly KPI report. Were appropriate corrective and/or preventive actions taken?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Immigration Compliance

Objective:

Determine if the destination country's immigration requirements were met and complied with, prior to the start of a business travel, temporary, or permanent move. The test covers the immigration compliance of the different global mobility offerings (Business Travel Compliance, Client Engagement Delivery, Global Career Mobility, and Employee Initiated Mobility), host country assignment model (HCAM) assignments, and business travels to countries with visa requirements.

Risk/Exposure:

Non-compliance with immigration laws and regulations.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Immigration Compliance

Primary Test: Compliance with Immigration Requirements (IC001.P)

Test: Compliance with Immigration Requirements including MSL

Approach:

Select a sample of a variety of assignment types for both inbound and outbound assignees whose assignments were either initiated, underway, or ended. Test for the following:

1. Did the employee obtain appropriate visa and/or other immigration requirements prior to the start of the assignment?
2. Were the required documents submitted, reviewed, and validated in line with the related trip's visa guidelines?
3. Were the minimum salary requirements met, if applicable?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Immigration Compliance

Primary Test: India Outbound Travel Management Process - Travel Management and Ticketing (IC002.P)

Objective:

To validate that the ticketing process was completed appropriately and that it was done in compliance with immigration laws and regulations and in a timely manner.

Approach:

Request a list of all employees with an approved confirmation number from Concur/ AMEX Global Business Travel (AMEX GBT) including extension tracking numbers, if applicable and select a risk-based sample.

1. Was an approval sent to the employee (India Outbound specific) for ticket processing?
Note: For GIs, employees in India receive approval from GI Travel Management team and then book their travel tickets via Travel@IBM (SAP Concur)/ AMEX GBT directly themselves.
2. If under the manual process, was the transaction tracker updated with travel information?
3. For extensions/revisions, check the following:
 - a. Did the case manager review and approve the travel extension/revision?
 - b. When submitting an approval note to the employee (India outbound specific), was the extension/revision noted with an extension tracking number? Note: tracking number is automatically generated by IBM Immigration Suite (IIS), a Global Immigration's enterprise solution that consolidates and automates the visa and travel operations under a single portal.
 - c. If under the manual process, was the case manager's transaction tracker updated with travel information?
 - d. Despite extension, was the employee still within the maximum amount of time allowed for travel?

Note that there are no restrictions on the number of extensions, if the employee is within the immigration regulations of the host country.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Immigration Compliance

Primary Test: US I-9 Reverification and Tracking (IC004.P)

Objective:

To ensure all US foreign national employees working in the US have a continuous and uninterrupted valid I-9 documentation per US Federal Regulations.

Approach:

Request a list of all US foreign national employees whose I-9 forms are set to expire within the next six (6) months and test the following:

1. Check whether notifications or alerts are triggered in advance of expiration (e.g., 90-day or 30-day reminders). These are currently automated in SuccessFactors.
2. Review the process for follow-up actions, including re-verification procedures and documentation updates.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Immigration Compliance

Primary Test: US LCA/PAF Compliance (IC005.P)

Objective:

To validate that case managers, complete the submission and completion of LCAs and PAFs in accordance with the United States Department of Labor (USDOL) requirements.

Approach:

1. Was the LCA Notice of Filing (NOF) posted publicly on the appropriate website (<https://lcapostings.feab05c7.public.multi-containers.ibm.com/us-en/employment/lca-posting>) and posted on the same day it was submitted to the Department of Labor?
2. Did the employee's salary meet or exceed the prevailing wage(s) indicated in the LCA?
3. Did the employee's salary meet or exceed the bottom of the indicated salary range(s) in the LCA?
4. Were all PAF documents appropriately named and uploaded into the employee's APro assignment record or in vendor system?
5. Was the employee's Certified LCA available in their APro or vendor system record for download?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Immigration Compliance

Primary Test: US Work Permit Operations (IC006.P)

Objective:

Drive immigration compliance for H1 and L1 visa types by validating the visa extension request and associated documents for accuracy and completeness before filing the visa application with United States Citizenship and Immigration Services (USCIS).

Approach:

1. Was the service authorization request consistent with the employees' inputs in SuccessFactors and/or the requests received from the employees, managers, delivery project executives or account managers and raised timely to the vendor?
2. Was the service authorization request and record updated timely and accurately based on vendors confirmation?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Internal Controls

Objective:

Evaluate whether internal controls are effective to ensure data, including personal information (PI) and sensitive personal information (SPI), is appropriately secured and protected, and can prevent or promptly identify questionable transactions and accesses.

Risk/Exposure:

The lack of effective internal controls could result in failure to detect irregularities, such as unauthorized access, assignments, payments, adjustments, or disbursements.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Internal Controls

Primary Test: Data Security and Privacy (DS001.P)

Objective:

Privacy laws impose requirements on how IBM and its Clients process Personal Information (PI). The Global Privacy Control Assessment Questions are composed with two key areas of the business to help address compliance with these various high-level laws.

- IBM as a Controller – The Enterprise Privacy Baseline – Controller establishes the high-level requirements that IBM must meet when acting as a Controller of Personal Information (PI). That is, PI that IBM collects and processes for its own purposes, such as Business Contact Information that IBM holds on its existing or potential customers or suppliers.
- IBM as a Processor – The Enterprise Privacy Baseline – Processor establishes the principles and requirements that IBM must meet when acting as a Processor of Client Personal Information (PI) and applies to all products, offerings, and services (including their components) that IBM provides to Clients, regardless of whether IBM develops or re-brands them, or provides them for a fee or on a beta, trial, or no-charge basis.

Approach:

Review the Data Privacy responses provided from the Initial Data Request. Determine if IBM is Controller or Processor of PI/SPI data in the process.

Testing:

IBM as Controller

If IBM is Controller, request a risk-based sample of Global Privacy Assessments for the processes and/or assets. Complete the testing from the following link: <https://ibm.ent.box.com/file/1198251968388>

IBM as Processor

If IBM is Processor, select a sample of products/offerings/services provided for the in-scope activities. Complete the testing from the following link: <https://ibm.ent.box.com/file/1198263127550>

IBM as both Controller and Processor

Test either IBM as Controller or Processor, do not test both. Consider the volume and sensitivity of the controller and processor data and select the higher risk.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Internal Controls

Primary Test: Access Management (DS002.P)

Objective:

Verify that management controls and authorization of all access to the application and data can be demonstrated with management awareness.

Verify that removal of such access is processed when there is no longer a business justification (e.g., at separation or change of role/organization).

Verify that a valid business need for privileged user IDs exists and is current and accountability for shared user IDs can be established.

Approach:

Review the processes for user access administration to ensure the process included the following:

- Defined business needs criteria to access application user profiles and data.
- Procedures for the removal of access and password resets.
- Procedures for the annual revalidation of users' continued business need (CBN)
- Procedures for employment verification.
- Procedures for maintaining a log of individual accountability for usage of shared user IDs (if applicable).
- Clear documentation of the control points within the access management process.
- Appropriate approval by management.
- File transfers among IBM and vendors, including encryption and classification as IBM Confidential.
- Spreadsheet protection.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Internal Controls

Primary Test: Separation of Duties (SOD) (DS003.P)

Test: Separation of Duties

Objective:

Ensure that a separation of duties assessment is performed and approved by the process owner or delegate annually, or more frequently as necessary. Validate that identified separation of duties conflicts are eliminated, mitigated, or accepted based on risk severity. Ensure that conflicting tasks which should be separated, but are not, have effective secondary controls.

Approach:

1. Were processes reviewed at least annually and at the appropriate level? Were the results documented and approved by the process owner or delegate?
2. Were identified conflicts assessed for a determination? Was there supporting documentation to validate the assessment?
3. If secondary controls are needed, were they identified and would they mitigate the conflict effectively?
4. If financial processes are included, were key controls defined and implemented? Were they tested timely and properly with documented results?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Other: Use for all Aspects of HR Privacy and Business Processes

Primary Test: Acquired Employees - Post Integration (OT001.S)

Objective:

If acquired employees were on assignment, established by the company being acquired, determine if the assignment could be managed and be in line with IBM's program or an exception process is required.

Approach:

For all cases, ask for information in the initial data request (IDR) on any acquisition that was fully integrated during the audit period in scope.

If there has been an acquisition(s):

- Request information on the timeline and integration status of the acquisition.
- Ask for a listing of the acquired employees including IBM TalentIDs and roles (non-managers, managers, executives).

For the universe of employees who were on international assignment established by the company prior to being acquired, determine the point that the terms of the assignment were adjusted to match IBM's program and confirm that the change occurred when required.

1. Were there employees on assignments established by the company prior to being acquired?
2. Did the acquired employees transition to IBM's Globally Mobility program? If not, was an exception in place to keep the acquired employees in their legacy plans?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Other: Use for all Aspects of HR Privacy and Business Processes

Primary Test: Compliance with Laws and Regulations (OT002.P)

Objective:

IBM must fully comply with applicable laws and regulations. Determine whether process design and execution comply with laws and regulations.

Approach:

Speak with IBM Human Resources and Legal personnel to identify what laws and regulations could apply. Discuss how to apply this knowledge to the audit field work. Be prepared to review findings with Legal personnel if needed.

Regulations could address topics such as:

- Data privacy and data protection
- Whether personal information and sensitive personal information can be handled by third parties or handled by anyone outside the country.
- When it is or is not appropriate to share personal information and sensitive personal information.
- Requirements relevant to claims processing including timeliness of settlements and appeals.
- Taxability of benefits
- Requirements relevant to recruiting, hiring, separations, resource actions, export regulations, work permits, etc.
- Retaining records to confirm process execution

During audit preparation and field work, keep this topic in mind for any scope area that is considered or is tested.